Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

8.1 Concepts of Demand

- **Demand** refers to **the quantities of a good that consumers are willing and able to buy at all given prices over a period of time, *ceteris paribus* (i.e. holding all other things constant)**.
- Demand:
  - is a want supported by purchasing power.
  - refers to the quantities demanded of a good at all given prices.
  - refers to the quantity of a good that a consumer plans to buy.
  - is time-specific.

The quantity demanded of a good is different from the demand for a good.

- Individual demand and market demand:

Individual demand	Market demand
It is the demand of an individual consumer	It is the sum of the individual demands of all consumers in the market

The market demand is the same as the individual demand when there is only one consumer in the market.

- Market demand can be found by:
  - horizontal summation of individual demand schedules
  - horizontal summation of individual demand curves

8.2 The Law of Demand

- **The law of demand** states that **an increase (a decrease) in the price of a good will result in a decrease (an increase) in its quantity demanded, *ceteris paribus***.
- The relationship between price and quantity demanded
  - The **downward-sloping** market demand curve implies that **price and quantity demanded are inversely related**, other things being constant.
- Application of the law of demand
  - The full price of a good refers to the sum of the monetary price and the non-monetary price (such as time cost).
  - When the full price of a good increases (decreases), its quantity demanded decreases (increases).

The law of demand does not state that a change in the quantity demanded will result in a change in the price of a good.

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8.3 Concepts of Supply

- **Supply** refers to **the quantities of a good that producers are willing and able to sell at all given prices over a period of time, *ceteris paribus*.**
- Supply:
  - refers to both the producers' willingness and ability to sell a good.
  - shows the quantities supplied of a good at all given prices.
  - refers to the quantity of a good that a producer plans to sell
  - is time-specific.
- Individual supply and market supply:

Individual supply	Market supply
It is the supply of an individual producer	It is the sum of the individual supplies of all producers in the market

- Market supply can be found by:
  - horizontal summation of individual supply schedules
  - horizontal summation of individual supply curves

8.4 The Law of Supply

- **The law of supply** states that **an increase (a decrease) in the price of a good will result in an increase (a decrease) in its quantity supplied, *ceteris paribus*.**
- The **upward-sloping** market supply curve implies that **price and quantity supplied are positively related**, other things being constant

Sometimes, the supply curve may not be upward sloping (e.g. a vertical supply curve) and it may be consistent with the law of supply.

8.5 Determination of Equilibrium Price and Output

Market equilibrium

- **Market equilibrium** is a state in which the market quantity demanded equals the market quantity supplied and there **is no tendency for the price to change.**
- The price and quantity at market equilibrium are called:
  - **equilibrium price** (or **market clearing price**); and
  - **equilibrium quantity**.
- In a demand-supply diagram, market equilibrium refers to the intersection point of the market demand curve and the market supply curve.

Demand does not equal supply at market equilibrium.

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Market disequilibrium

- **Market disequilibrium** refers to an imbalanced situation where the consumption plans of consumers do not match the production plans of producers.
- Excess demand and excess supply

Excess demand	Excess supply
• It is also known as **shortage.** • It refers to a situation in which the quantity demanded is greater than the quantity supplied at a price below the equilibrium.	• It is also known as **surplus.** • It refers a situation in which the quantity supplied is greater than the quantity demanded at a price above the equilibrium.

Scarcity still exists when there is an excess supply as the resources available are not enough to satisfy all people's wants.

- In situations of excess demand and excess supply:

	Excess demand ($Q_d > Q_s$)	Excess supply ($Q_d < Q_s$)
Price	will increase	will decrease
Quantity demanded	will decrease	will increase
Quantity supplied	will increase	will decrease
Result	$Q_d = Q_s$	$Q_d = Q_s$

When the market price equals the equilibrium price, shortage does not exist but scarcity still exists.

8.6 Money Price (Nominal Price) and Relative Price

Money price (nominal price)

- When the price of a good is expressed in terms of money, it is called the **money price (nominal price)**.

Relative price

- When the price of a good is expressed in terms of another good, it is called the **relative price**.

$$\text{Relative price of good A (in terms of good B)} = \frac{\text{Money price of good A}}{\text{Money price of good B}}$$

- Relative price and the law of demand
  - An increase (a decrease) in the relative price of a good will result in a decrease (an increase) in its relative quantity demanded, *ceteris paribus*.
  - When the money prices of higher-priced and lower-priced goods increase by the same amount, the relative price of the higher-priced good will decrease while the relative price of the lower-priced good will increase. According to the law of demand, people will buy a greater proportion of higher-priced goods.

Relative prices of two goods will not be affected if their money prices change by the same percentage.

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